

The Pacific Lighting case, used for comparison in the last example, illustrates our first exception. The figures for 1929 were taken from the annual report and are based on the “sinking-fund” depreciation method generally followed by agreement between the California Commission and California utility companies. It appears that the deductions for depreciation taken by the company average lower than the straight-line deduction taken on the tax returns. Nevertheless, in this case the company’s reported figures might well be accepted, first, because they result from applying an admissible accounting method and, second, because the amounts appear to be liberal in relation both to the property account and to the gross earnings. The same reasoning would apply to all the California utilities.

There is another large group of companies that have taken depreciation allowances that appear liberal in themselves but are still substantially less than the income tax deductions.

Examples: In 1938 Detroit Edison charged 13.5% of gross on its report to shareholders, vs. 18.2% of gross on its tax return for that year. Corresponding figures for North American Company for 1937 were 12.8 and 14.8%, respectively.

In these instances the investor—and particularly the common-stock buyer—may argue that the income tax basis is unduly severe. It is difficult to pronounce judgment on this point in the absence of detailed knowledge of the properties themselves and a better familiarity with public-utility engineering details than we possess. We are inclined to advance the compromise suggestion that when the tax figure exceeds, say, 12½% of gross, the latter rate be used provisionally for purposes of analysis.¹¹

¹¹ The 12½% rate is about midway between the average figure taken by companies on their tax returns and on their reports to shareholders and is fairly close to the average depreciation rate on the sinking-fund basis as currently reported. A study published by Goodbody and Company, members of the New York Stock Exchange, in May 1938, which covered about two-thirds of the light and power industry, indicated that the industry as a whole had deducted 10.46% of gross for depreciation or retirements in its reports to stockholders for the year 1937 and had claimed 14.78% of gross for depreciation on its tax returns. A detailed computation published by the S.E.C. in July 1939, covering 177 operating gas and electric utilities in holding-company systems, showed that for 1938 the depreciation or retirement allowances taken in their income accounts averaged 10.30% of gross operating revenues. A study by the Federal Power Commission of the 1937 results for 385 utilities, representing 90% of the electric utility industry as measured by assets, showed an average depreciation charge of 10% of electric utility operating revenues and 9.2% of total utility operating revenues. See *Statistics of Electric Utilities for the Year Ended December 31, 1937*, Vols. I and II, 1939.